

DATE OF PROPOSED COUNCIL ACTION: August 24, 2015 (1st Reading)

TYPE OF DOCUMENT: (☐ ORDINANCE) (☒ RESOLUTION) (☐ LEASE/CONTRACT)
(☐ CALL FOR BIDS) (☐ CONSIDER BIDS) (☐ OTHER)

SPONSOR: (RESOLUTION) Jim Brown

LEGAL TITLE: (Contract #, etc.) _____

EXACT WORDING FOR AGENDA: Entitled: "A RESOLUTION AUTHORIZING THE SUBMITTAL OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD, AMENDING DRINKING WATER STATE REVOLVING LOAN #151 FROM \$589,800 TO \$1,089,800 FOR THE RL SHERARD POWDERED ACTIVATED CARBON FEED SYSTEM PROJECT AND AUTHORIZING THE MAYOR, THE CITY CLERK AND THE DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED LOAN DOCUMENTS."

(1% Sales Tax/other funding/Grant)

CONTACT PERSON: Clint Bassett/Tim Wilson PHONE: 632-9890/637-6464 KEY DEPT: BOPU

OTHER AFFECTED CITY DEPT'S: _____ OTHER GOV'T AGENCIES AFFECTED: _____

FINANCIAL IMPACT: The Project cost estimate is \$1,089,800. Request approval to submit an application to the State loan Investment Board amending DWSRF loan #151 from \$589,800 to \$1,080,800. The intent is to try to obtain 25% Principal Forgiveness on the additional \$500,000.

CONTRACT PARTIES OFFICIAL TITLE:

CONTRACT TERM: _____ STARTING DATE: _____

	YES	NO	N/A
Is funding Budgeted?	(☐)	(☐)	(☐)
Were Bids called for?	(☐)	(☐)	(☐)
Affected parties notified of Council procedures & dates?	(☐)	(☐)	(☐)
Had bond or other security been arranged?	(☐)	(☐)	(☐)
Has insurance been arranged?	(☐)	(☐)	(☐)
Have legal descriptions been received and checked?	(☐)	(☐)	(☐)
Proposed conditions which affect City?	(☐)	(☐)	(☐)
Agenda item approved/reviewed by:			
Mayor (☐)	City Attorney (☒)	Dept. Head (☐)	

General Comments:

Submitted by: Clint Bassett Title: Water Treatment Division Manager
Date: 08/18/15

UPON PASSAGE OF THIS AGENDA ITEM, COPIES SHOULD BE SENT TO:

Tim Wilson - BOPU

8-19-15 / JH12
Date: _____

RESOLUTION NO. _____

Entitled: "A RESOLUTION AUTHORIZING THE SUBMITTAL OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD, AMENDING DRINKING WATER STATE REVOLVING LOAN #151 FROM \$589,800 TO \$1,089,800 FOR THE RL SHERARD POWDERED ACTIVATED CARBON FEED SYSTEM PROJECT AND AUTHORIZING THE MAYOR, THE CITY CLERK AND THE DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED LOAN DOCUMENTS."

WHEREAS, Wyoming Statute 15-7-401 provides for a Board of Public Utilities (BOARD) to manage, operate, maintain and control municipal waterworks, a sanitary sewer system and sewage disposal plants; and

WHEREAS, Cheyenne City Code Section 2.68.010 established such a BOARD to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewer System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities; and

WHEREAS, the 2013 Water and Wastewater Master Plan recommends the construction of a Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant to remove taste and odor causing compounds; and

WHEREAS, the Governing Body of the City of Cheyenne (CITY) recognizes the 2013 Water and Wastewater Master Plan as an essential planning tool and the necessity for the construction of a Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant to remove taste and odor causing compounds (PROJECT); and

WHEREAS, the PROJECT includes, but is not limited to, the engineering and construction of a feed system and pipeline to deliver the powdered activated carbon to an injection point where it will be introduced into the water treatment process; and

WHEREAS, the cost of the PROJECT is estimated at \$1,089,800; and

WHEREAS, a loan from the Wyoming Drinking Water State Revolving Fund may be granted up to twenty-five percent principal forgiveness, which is estimated to be \$272,450 for the amended loan; and

WHEREAS, a loan from the Wyoming Drinking Water State Revolving Fund is subject to a loan origination fee of 0.5 percent, which is estimated to be \$5,449 for the amended loan; and

WHEREAS, the CITY and the BOARD recognize that the annual principal and interest payment on the proposed amended loan, after principal forgiveness, will be approximately \$52,430.66, assuming a loan term of 20 years at 2.5%, and that the CITY and the BOARD anticipate an early payoff of the loan; and

WHEREAS, the CITY and the BOARD are committed to repaying the loan from revenue from the Water Enterprise Fund; and

WHEREAS, the CITY and the BOARD recognize that it is essential to maintain an adequate water treatment system for the community of Cheyenne.

NOW, THEREFORE, BE IT RESOLVED THAT THE GOVERNING BODY OF THE CITY OF CHEYENNE, does hereby approve:

1) The submittal of an application to the Wyoming State Loan and Investment Board amending Drinking Water State Revolving Loan #151 from \$589,800 to \$1,089,800 for PROJECT costs such as but not limited to engineering services, administration, construction and all related costs of the Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant for the City of Cheyenne; and

2) That the Mayor, the City Clerk and the Director of the Board of Public Utilities are hereby designated as the authorized representatives of the City of Cheyenne to act on behalf of the CITY and the BOARD in all matters related to this application and related documents and are authorized to execute the application and all related loan documents including but not limited to the loan agreement, assignment and pledge of revenues and promissory note.

ADOPTED THIS _____ day of _____ 2015.

CITY OF CHEYENNE:

Richard L. Kaysen, Mayor

(SEAL)
Attest:

Carol Intlekofer, City Clerk

Entitled: "A RESOLUTION AUTHORIZING THE SUBMITTAL OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD, AMENDING DRINKING WATER STATE REVOLVING LOAN #151 FROM \$589,800 TO \$1,089,800 FOR THE RL SHERARD POWDERED ACTIVATED CARBON FEED SYSTEM PROJECT AND AUTHORIZING THE DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED LOAN DOCUMENTS."

WHEREAS, Wyoming Statute 15-7-401 provides for a Board of Public Utilities (BOARD) to manage, operate, maintain and control municipal waterworks, a sanitary sewer system and sewage disposal plants; and

WHEREAS, Cheyenne City Code Section 2.68.010 established such a BOARD to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewer System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities; and

WHEREAS, the 2013 Water and Wastewater Master Plan recommends the construction of a Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant to remove taste and odor causing compounds; and

WHEREAS, the BOARD recognizes the 2013 Water and Wastewater Master Plan as an essential planning tool and the necessity for the construction of a Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant to remove taste and order causing compounds (PROJECT); and

WHEREAS, the PROJECT includes, but is not limited to, the engineering and construction of a feed system and pipeline to deliver the powdered activated carbon to an injection point where it will be introduced into the water treatment process; and

WHEREAS, the cost of the PROJECT is estimated at \$1,089,800; and

WHEREAS, a loan from the Wyoming Drinking Water State Revolving Fund may be granted up to twenty-five percent principal forgiveness, which is estimated to be \$272,450 for the amended loan; and

WHEREAS, a loan from the Wyoming Drinking Water State Revolving Fund is subject to a loan origination fee of 0.5 percent, which is estimated to be \$5,449 for the amended loan; and

WHEREAS, the BOARD recognizes that the annual principal and interest payment on the proposed amended loan, after principal forgiveness, will be approximately \$52,430.66, assuming a loan term of 20 years at 2.5%, and that the Board anticipates an early payoff of the loan; and

WHEREAS, the BOARD and the Governing Body of the City of Cheyenne are committed to repaying the loan from revenue from the Water Enterprise Fund; and

WHEREAS, the BOARD recognizes that it is essential to maintain an adequate water treatment system for the community of Cheyenne.

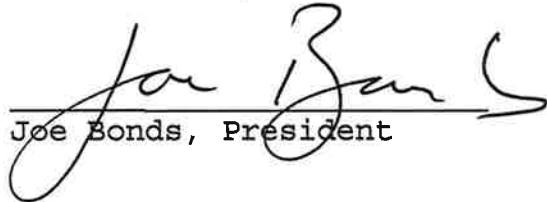
NOW, THEREFORE, BE IT RESOLVED THAT THE BOARD OF PUBLIC UTILITIES OF THE CITY OF CHEYENNE, does hereby approve:

1) The submittal of an application to the Wyoming State Loan and Investment Board amending Drinking Water State Revolving Loan #151 from \$589,800 to \$1,089,800 for PROJECT costs such as but not limited to engineering services, administration, construction and all related costs of the Powdered Activated Carbon Feed System at the RL Sherard Water Treatment Plant for the City of Cheyenne; and

2) That the BOARD Director is hereby designated as the authorized representative of the Board of Public Utilities to act on behalf of the BOARD in all matters related to this application and related documents and is authorized to execute the application and all related loan documents including but not limited to the loan agreement, assignment and pledge of revenues and promissory note.

ADOPTED THIS 17th day of August 2015.

BOARD OF PUBLIC UTILITIES:


Joe Bonds, President

(SEAL)
Attest:


Brad Oberg, Secretary